

Chapter Introduction

STATEMENT OF STOCKHOLDERS' EQUITY

For the Year Ended December 31, 20Y5

	Common Stock	Retained Earnings	Total
Balances, Jan. 1, 20Y5	\$XXX	\$ XXX	\$ XXX
Issued common stock	XXX		XXX
Net income		XXX	XXX
Dividends		(XXX)	(XXX)
Balances, Dec. 31, 20Y5	<u>\$XXX</u>	<u>\$ XXX</u>	<u>\$ XXX</u>

STATEMENT OF CASH FLOWS

For the Year Ended December 31, 20Y5

Cash flows from (used for)	
operating activities	\$XXX
Cash flows from (used for)	
investing activities	XXX
Cash flows from (used for)	
financing activities	<u>XXX</u>
Net increase (decrease) in cash	<u>\$XXX</u>
Cash balance, January 1, 20Y5	<u>XXX</u>
Cash balance, December 31, 20Y5	<u>\$XXX</u>

INCOME STATEMENT

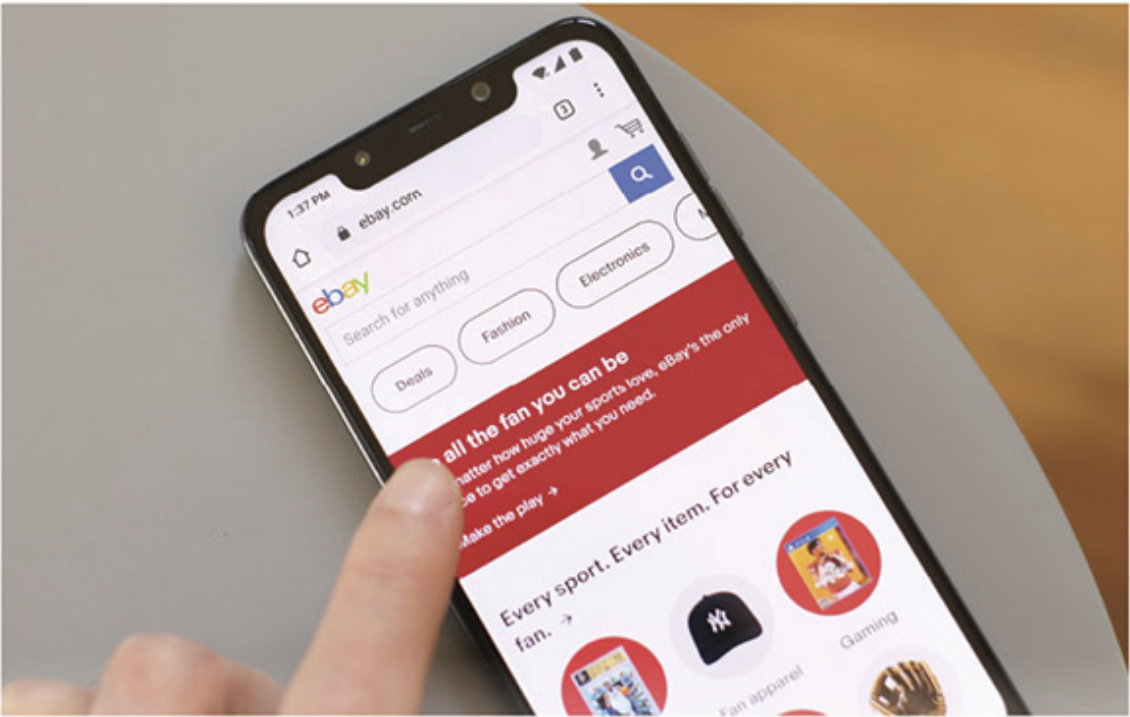
For the Year Ended December 31, 20Y5

Sales	\$ XXX
Cost of goods sold	(XXX)
Gross profit	\$ XXX
Operating expenses:	
Wages expense	\$XXX
Advertising expense	XXX
Utilities expense	XXX
Depreciation expense	XXX
...	<u>XXX</u>
Total operating expenses	(XXX)
Operating income	\$ XXX
Other revenue and expense	<u>XXX</u>
Net income	<u>\$ XXX</u>

BALANCE SHEET

December 31, 20Y5

Assets	
Current assets:	
Cash	\$XXX
Accounts receivable	XXX
Inventory	<u>XXX</u>
Total current assets	\$XXX
Property, plant, and equipment	<u>XXX</u>
Total assets	<u>\$XXX</u>
Liabilities	
Current liabilities	\$XXX
Long-term liabilities	<u>XXX</u>
Total liabilities	\$XXX
Stockholders' Equity	
Common stock	\$XXX
Retained earnings	<u>XXX</u>
Total stockholders' equity	<u>XXX</u>
Total liabilities and stockholders' equity	<u>\$XXX</u>



eBay Inc.

Controls are a part of your everyday life. At one extreme, laws are used to limit your behavior. For example, speed limits are designed to control your driving for traffic safety. In addition, you may also use many nonlegal controls. For example, you can keep credit card receipts in order to compare your transactions to the monthly credit card statement. Comparing receipts to the monthly statement is a control designed to catch mistakes made by the credit card company. In addition, banks give you a personal identification number (PIN) as a control against unauthorized access to your cash if you lose your automated teller machine (ATM) card. Dairies use freshness dating on their milk containers as a control to prevent the purchase or sale of soured milk. As you can see, you use and encounter controls every day.

Just as there are many examples of controls throughout society, businesses must also implement controls to help guide the behavior of their managers, employees, and customers. For example, **eBay Inc. (EBAY)** maintains an Internet-based marketplace for the sale of goods and services. Using eBay’s online platform, buyers and sellers can browse, buy, and sell a wide variety of items including antiques and used cars. However, in order to maintain the integrity and trust of its buyers and sellers, eBay must have controls to ensure that buyers pay for their items and sellers don’t misrepresent their items or fail to deliver sales. One such control eBay uses is a feedback forum that establishes buyer and seller reputations. A prospective buyer or seller can view the member’s reputation and feedback comments before completing a transaction. Dishonest or unfair trading can lead to a negative reputation and even suspension or cancellation of the member’s ability to trade on eBay.

This chapter discusses controls that can be included in accounting systems to provide reasonable assurance that the financial statements are reliable. Controls to discover and prevent errors to a bank account are also discussed. This chapter begins by discussing the Sarbanes-Oxley Act and its impact on controls and financial reporting.

What’s Covered

Internal Control and Cash

Internal Controls	Cash Receipts and Payments	Bank Accounts	Special-Purpose Cash Funds	Reporting Cash
• Sarbanes-Oxley Act (Obj. 1)	• Control of Cash Receipts	• Bank Statement (Obj. 4) • Bank	• Petty Cash	• Balance Sheet (Obj. 7)

- | | | | |
|---------------------------|--|----------------------------|----------|
| • Elements
(Obj. 2) | (Obj. 3) | Reconciliation
(Obj. 5) | (Obj. 6) |
| • Limitations
(Obj. 2) | • Control of
Cash
Payments
(Obj. 3) | | |

Learning Objectives

- Obj. 1 Describe the Sarbanes-Oxley Act and its impact on internal controls and financial reporting.
- Obj. 2 Describe and illustrate the objectives and elements of internal control.
- Obj. 3 Describe and illustrate the application of internal controls to cash.
- Obj. 4 Describe the nature of a bank account and its use in controlling cash.
- Obj. 5 Describe and illustrate the use of a bank reconciliation in controlling cash.
- Obj. 6 Describe the accounting for special-purpose cash funds.
- Obj. 7 Describe and illustrate the reporting of cash and cash equivalents in the financial statements.

Analysis for Decision Making

- Obj. 8 Describe and illustrate the use of days' cash on hand to assess a company's ability to meet its cash commitments.